Finance Member, Sir George Schuster, announced in the Legislative Assembly at Simla that the government was providing temporary suspension of the statutory stipulation to sell sterling or gold against rupees, thereby implying that the rupee would be free to take its course without being tied to either gold or sterling. But at the meeting of the Federal Structure Sub-committee the Secretary of State, Sir Samuel Hoare, declared that the government would maintain India's currency standard on a sterling basis. G. D. Birla was the only Indian representative in London at the time when this statement was made and he tried to explain the position and organize opposition to Whitehall's move. A meeting was organized with a few Indian delegates and Sir Henry Strakosch at the India Office in which Gandhi was also present. Gandhi was not convinced but agreed to suspend judgment for the time being.

When Purshotamdas joined them, he at once took up the matter with the India Office questioning the decision to link the rupee to sterling when the last Currency Commission had recommended the contrary. He also drew attention to the fact that the government was willing to purchase gold at ₹21 per tola when the market rate was ₹25. This resulted in large quantities of gold being exported out of India instead of finding their way to the currency reserve. When Sir Henry Strakosch said that since India could not get the world to accept other articles in discharge of her debt she was exporting gold, Purshotamdas said that the big fall in prices had taken a heavy toll on the agriculturist who in some cases was not able to pay his cartage. He asked, 'What objection is there to let the rupee be divorced from sterling in order to see if the grower can get a better return in rupees?'[14] Further discussions however yielded no positive results and the impasse continued. The second Round Table Conference ended in November 1931 and Gandhi was arrested in January 1932, a week after he returned from Europe. In September, Ramsay MacDonald announced his Communal Award which was soon followed by Gandhi's fast and a modification of the Award as far as the depressed classes were concerned.

THE THIRD ROUND TABLE CONFERENCE

The Viceroy announced a third and smaller Round Table Conference in September 1932 in which Purshotamdas was included. He was a part of the